

‘On other days, the code could be the name of a movie, with the names of the actors corresponding to certain stocks. If the dealer says he liked the role of a certain actor, it meant a buy order. If he says the actor was disappointing, it means a sell order. We could be discussing the timings of local trains, or even a game of cricket. A person overhearing the conversation would not have the faintest clue that we were actually discussing stocks and the orders of clients,’ Tyson explained.

It was not too difficult to know which dealers or fund managers were on the take. It was a small world, and word soon got around. Besides, it also showed up in their lifestyle at some point. On a good day, you could easily make a few lakh rupees in an hour. And if you had a few good months in a year, you could make enough to maintain a comfortable lifestyle for the rest of your life.

The information channel I wanted to create was different. If anything, it was quite ambitious. If I spoke to, say, a dozen dealers at big broking firms, I would get to know of most of the important deals. Sometimes dealers would suppress information if they had pending orders to be executed the following day. And rarely would you get to know the name of the client, which to me was important, because the pedigree of the buyer also influenced the short-term trend in a stock. Big fund houses held their shares for longer than lesser-known funds, which were happy to sell out for a small profit.

My quest was for a system by which I got the maximum information by speaking to as few people as possible. I soon found the solution.

Every institutional investor had a custodian that handled shares and payments for them. At the end of the day’s trade, the brokerage would send the contract notes containing the details of trades made by their clients to the client’s custodian. If it was a buy order, the custodian would then release funds to the clearing house of the stock exchange, and if it was a sell order, it would deliver the shares.

The contract notes were hand-delivered by the broking firm’s peon to the custodian. Some traders had already managed to bribe the peons at the big brokerage firms to show them the contract notes before handing them over to the custodian. At times the peons would make copies of the contract notes and pass them over to the traders. But this system had its complications. The broking firms did not always send their contract notes